



Qualification Programme Examination Panelist's Report

Module 8 – Principles of Auditing (June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple choice questions covered principles of professional ethics, control activities, risk assessment including inherent risk, and application of test of control and substantive audit procedures.

In general, the performance of candidates was satisfactory for questions relating to the principle of professional ethics application of audit procedures. Candidates' performance was less satisfactory for questions relating to inherent risk assessment and control activities.

Specific Comments

Candidates showed weaknesses in the following areas:

- Inherent risk of misstatement of inventory.
- Identification of relevant types of control activities.
- Application of substantive procedures for assertions of accounts receivable.

(II) Section B – Written Questions

General Comments

The written questions covered the roles and responsibilities of an auditor, application of corporate governance framework and the impact of auditing, audit approach and planning, audit sampling and sampling risks, types of audit procedures, key audit matters, and types of modified opinions.

Candidates performed better on questions related to the roles and responsibilities of an auditor and the auditor's opinion. However, they did not perform well on some of the questions about basic auditing concepts, possibly due to insufficient study of the subject materials. They also did not perform well when answering questions on topics such as audit approach and planning, audit sampling and sampling risks, audit approaches, and the application of corporate governance framework.



Specific Comments

Question 1(a) – 5 Marks

This question required candidates to explain the auditor's considerations for accepting a new client. Performance was satisfactory. Many candidates described the considerations and provided two to three relevant answers, however, few candidates provided all five factors.

Question 1(b) – 6 Marks

This question required candidates to describe the objective of communication with those charged with governance. Although it was a straightforward question, most candidates did not provide relevant answers.

Question 1(c) – 5 Marks

This question required candidates to explain how the external audit function serves as a component of corporate governance. Most candidates demonstrated an understanding of the external audit function, but few applied them as a component of corporate governance. Overall performance was not satisfactory.

Question 1(d) – 5 Marks

This question required candidates to list the benefits of adequate audit planning. Most candidates listed relevant benefits and provided relevant answers.

Question 1(e) – 6 Marks

This question required candidates to list the aspects of the entity that an auditor should initially obtain upon the performance of risk assessment procedures. Performance was satisfactory in general.

Question 2(a) – 4 Marks

This question required candidates to describe the difference between accounting and external auditing. The candidates' performance was satisfactory in general, but some candidates did not describe the difference.

Question 2(b) – 6 Marks

This question required candidates to list the contractual elements that are included in an engagement letter. Most candidates listed relevant elements. Results were satisfactory in general.



Questions 2(c) - 2 Marks; 2(d) – 2 Marks; and (e) – 2 Marks

These questions required candidates to explain sampling and non-sampling risks. Performance was poor. It seems candidates did not put enough effort into studying audit sampling.

Question 3(a) – 6 Marks

This question required candidates to list and describe the key types of audit approaches.

In general, many candidates did not list the types of audit approaches. Some candidates mixed up audit approaches with audit methodologies. Performance was not satisfactory.

Questions 3(b) – 6 Marks; 3(c) – 5 Marks; and 3(d) – 6 Marks

These questions required candidates to describe the substantive procedures for auditing rental income, mortgage interest expenses, and investment properties.

The questions were straightforward, and performance was satisfactory in general.

Questions 4(a) – 2 Marks; and 4(b) – 4 Marks

These questions required candidates to define key audit matters (KAM) and explain the purpose of including the KAM section in an auditor's report.

Performance was poor. It seems candidates did not put enough effort into studying KAM.

Question 4(c) – 3 Marks

This question required candidates to analyse the inherent risk of accounts receivable of the given case. Performance was not satisfactory as most candidates did not address the relevant inherent risk factors.

Question 4(d) – 4 Marks

This question required candidates to determine and describe the appropriate type of auditor's opinion for the financial statements of the given case. Many candidates determined the appropriate type of auditor's opinion based on appropriate consideration and explanation.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. The performance of candidates on the multiple choice questions was satisfactory. The candidates performed less satisfactorily when attempting the written questions.

The candidates displayed a lack of understanding of basic auditing knowledge and did not perform well on application of their knowledge of Auditing and Accounting Standards.

Candidates are advised to put adequate effort into studying the learning materials before taking this module exam.

Candidates are reminded to read the questions carefully so that they interpret the question requirements correctly.